India Cement: Carbon Liability Is Now a Boardroom Event

A Bombay Breed intelligence brief for Chief Financial Officers of obligated cement entities

186
cement plants with mandatory GEI targets

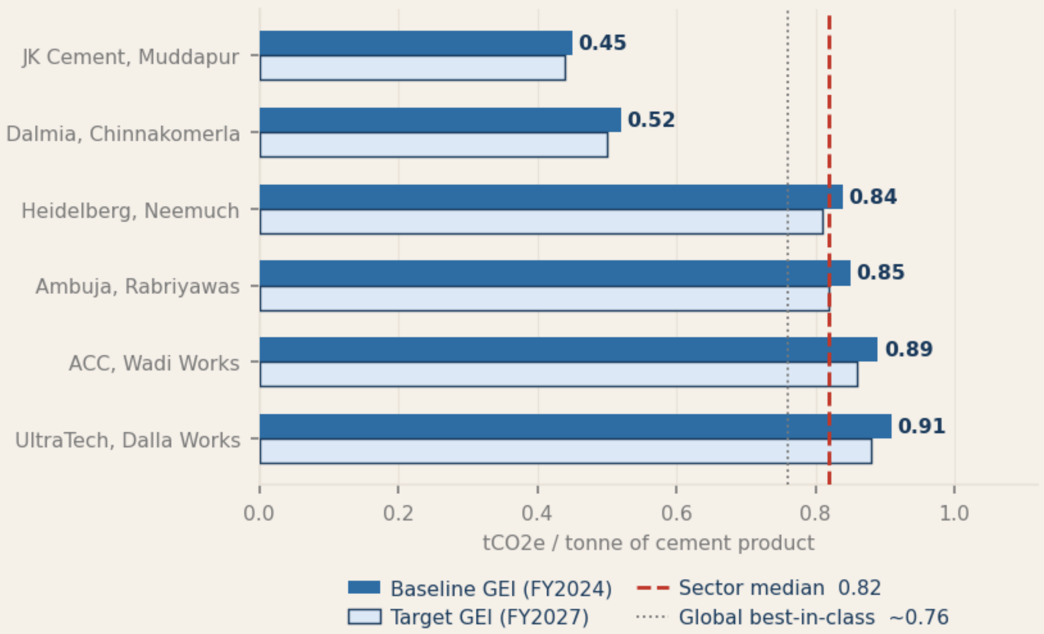
102%
GEI spread: OPC kilns vs PPC blended plants

2x
penalty multiplier on credit shortfall

GEI LEAGUE TABLE: LARGE CEMENT PLANTS (OPC + PPC)

Baseline (FY2023-24) vs target (FY2026-27), tCO2e per tonne of cement product

Source: MoEFCC GEI Gazette, Oct 2025; BEE CCTS Schedule

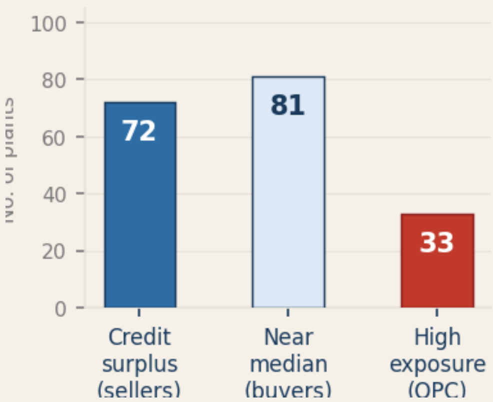


Cement's defining compliance challenge is the sub-sector split. OPC kiln plants run at **0.84-0.91 tCO2e/tonne**, while blended PPC plants operate at **0.44-0.52 tCO2e/tonne** — a 102% spread within the same sector. The same company can simultaneously be a credit seller (PPC plants) and a credit buyer (older OPC kilns).

Cement entities face a **2% GEI reduction** in FY2025-26, tightening to **2.5-3.4%** by FY2026-27. Non-compliance triggers environmental compensation at **twice the prevailing credit price** as determined by BEE. At Rs 830-1,000 per credit, portfolio-level exposure for multi-plant operators runs to crores.

COMPLIANCE EXPOSURE PROFILE: 186 CEMENT PLANTS

Estimated distribution across OPC and PPC sub-sectors. Source: MoEFCC Oct 2025; BEE



72 **plants**

are on track to generate surplus credits — predominantly PPC and blended cement operations.

81 **plants**

are near the compliance boundary and will need efficiency measures or credit purchases by FY27.

33 **plants**

are high-exposure OPC kiln operations above 0.87 tCO_2e/t. Credit liability could reach crores per compliance year.

FOUR QUESTIONS YOUR CFO SHOULD BE ABLE TO ANSWER TODAY

1 Across your plant portfolio, which facilities are net credit generators and which carry purchase obligations under CCTS FY2027 targets?

2 For multi-plant operators: what is your net credit position across OPC and PPC sub-sectors combined?

3 Are your BRSR disclosures consistent with your CCTS-notified GEI baselines across all sub-sectors? Inconsistency is a material regulatory risk.

4 When the Indian Carbon Market opens for trading (expected mid-2026), is your CCTS position framed as a risk or a commercial opportunity?

HOW BOMBAY BREED WORKS WITH OBLIGATED CEMENT ENTITIES

- **GEI peer benchmarking:** your portfolio vs. all 186 cement obligated entities
- **Sub-sector analysis:** net credit position across your OPC and PPC plant mix
- **CFO / board briefing:** financial liability and surplus quantification in INR
- **Carbon communications strategy:** BRSR alignment and ICM launch investor narrative

Request a full briefing: theresa.ronnie@bombaybreed.com · bombaybreed.com

Sources: MoEFCC GHG Emission Intensity Target Rules, 8 October 2025 | Bureau of Energy Efficiency (BEE) CCTS Schedule | ICAP ETS Map, January 2026 | Global Cement, October 2025 | Carbon credit pricing: BEE / market data FY2026